

Module 7

Value streams: mapping and
management

Syllabus

- 5.1 Key concepts of value stream mapping and management (all Assessment Criteria included)
- 5.2 Application of value streams (all Assessment Criteria included)
- 5.3 Purpose of value stream mapping and management (all Assessment Criteria included)



What you will learn

By the end of this module, you will be able to:

- know the purpose and key concepts of value stream mapping and management
- understand the relationship between value stream mapping and value stream management.



Introduction to value streams



Value stream

A series of steps that an organization uses to create and deliver products and services to a service consumer.

- **Organizations** differ in roles and workflows.
- **Workflows** are unique and context-driven.
- **Value streams** are real work that creates value.
- **Lifecycle management activities** adapt to context.

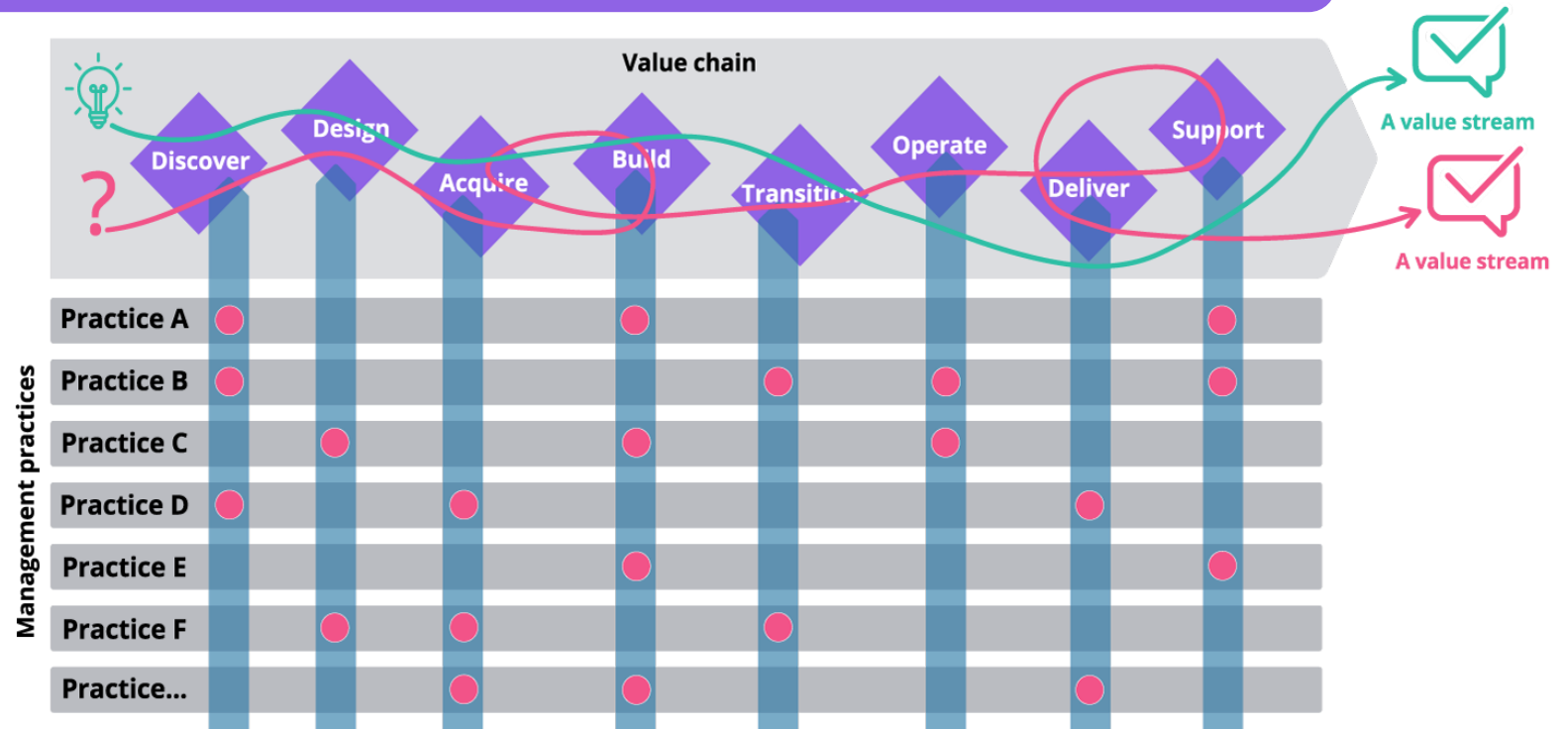


Figure 1.9 Management practices enable and support the value chain activities

Why value streams

Value streams represent the actual sequence of activities that deliver value such as:

- real workflows, not blueprints
- flow of information and artifacts
- enable customer and stakeholder value
- cover end-to-end delivery
- activities combine differently in practice.

Value stream mapping allows organizations to ensure a shared understanding of the value they aim to create, achieve clarity in how that value is produced, and optimize the flow of work and information to improve output quality.



Types of value streams: core and enabling

Value streams can be grouped into **two categories**:

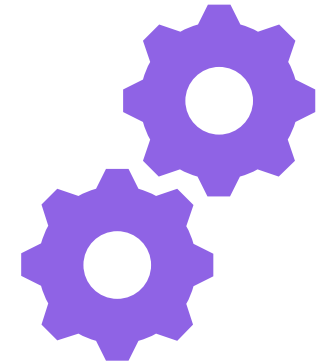
Core value stream

A value stream that enables value for consumers in a form intended by the organization's operating model.



Enabling value stream

A value stream that enables value for internal customers to support the organization's core value streams.



Note: These categories can be cascaded depending on the scope of 'organization' in every case. For example, delivering a digital service for preparing and executing a payroll may be a core value stream for the company's technology department, while even the payroll itself is seen as a supporting value stream enabling the company to perform its core business activities for its customers.

Value stream mapping

Value stream mapping is a technique to visualize and analyse value streams, focusing on the flow of work, information, and value created for the service consumer.

Use of value stream mapping helps to:

- ensure shared understanding of the value
- clarify how value is created
- optimize the flow of work and improve quality.



Steps of value stream mapping

Value stream mapping includes the following steps:

1. Identify the value stream

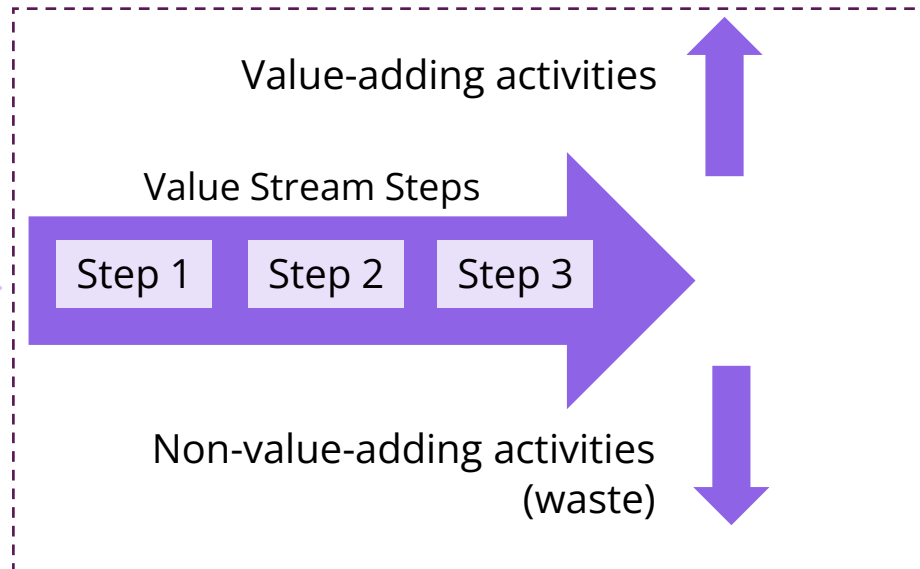
2. Map the 'as-is' stream

3. Analyse the stream

4. Map the 'to-be' stream

5. Plan and implement improvements

Step 3: Analyse the stream



Value stream mapping vs. management

After learning why value streams matter, the next step is to see how mapping and management provide the techniques to analyse and continually improve them.

Value stream mapping

- Technique for visualizing and analysing streams
- Shows flow of information, work, and value
- Steps: Identify - mapping as-is - analyse - mapping to-be - improve.

Value stream management

- Ongoing focus on how work is done
- Analysis and improvement of the organization's value streams. Both "management of" and "management through" streams
- Supported by automation & measurement
- Improves practices that enable streams.

